

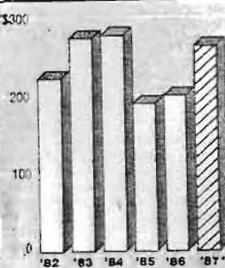
Business Day

The New York Times



An Upturn For Tandy

Net earnings in millions, for fiscal years ended June 30



*Estimate by Dean Witter Reynolds

A Comparison Of Prices

Average prices of basic systems of I.B.M. XT personal computer and its clones.

Computer System	Price
I.B.M. XT ¹	\$2,500
Tandy 1000 SX	2,200
Leading Edge Model D	2,150
Epson	2,000
Blue Chip	2,000

¹Prices include computer, monitor, printer, software, modem and average memory.

²Price recently cut from \$3,400.

Source: IDC

John V. Roach, chairman of the Tandy Corporation, with the company's new 1000 SX personal computers at a plant in Fort Worth.

A New Computer Gives Tandy a Lift

By THOMAS C. HAYES

Special to The New York Times

FORT WORTH, Jan. 6 — If the Tandy Corporation could get enough parts, work would never stop at its new plant here that assembles the company's new, low-price copy of International Business Machines' XT personal computer. As it is, the plant is busy churning out Tandy's surprisingly successful 1000 SX model 16 hours a day, five days a week.

Since it became available late in September, the 1000 SX has reaffirmed Tandy's status as a durable contender in the personal computer business. The backlog of unfilled orders for the attractively priced computer — which by itself now sells for \$999 — is more than 30,000 units and rising.

The retail price for a basic 1000 SX system — including a monitor, a printer, software and about 384,000 characters of memory — now averages \$2,200, according to Infocorp, a market research concern, but Tandy says the price is more often under

\$2,000. A comparable I.B.M. XT system now costs about \$2,500, and the typical price of the strong-selling Leading Edge Model D system made by Daewoo of South Korea is \$2,150.

"The popularity of the 1000 SX has been way above our anticipation," John V. Roach, Tandy's chairman and chief executive, said. "I guess that only means we don't make the greatest projections in the world."

Analysts anticipate a surge in Tandy's fourth-quarter earnings, a prospect buttressed by the company's report on Monday that sales of its domestic retail operations rose 21 percent, to \$526.3 million, in December — one of the biggest increases reported by any computer retailer in the crucial Christmas month.

"Tandy is being taken a great deal more seriously today than a year ago," said Eugene G. Glazer, an analyst with Dean Witter Reynolds in New York. "They are making an amazing comeback." In addition to the 1000 SX, Tandy is also having suc-

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COMPANY NEWS

Computer Gives Tandy a Lift

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cess with three other I.B.M.-compatible computers.

Since Sept. 1, Tandy's stock price has jumped 49 percent, to a close of \$45.375 today — its highest level since July 1983. And although year-end figures are not available, Infocorp estimated Tandy's share of personal computers sold in the first nine months of 1986 at 17 percent, or third behind Apple, the leader with 26 percent, and I.B.M. with 20 percent.

One reason for the increase in Tandy's stock price, according to analysts, is the company's promising position in the growing cellular telephone market. Another is the drop in the company's tax rate, to about 37 percent from 46 percent, because of the new tax law — a boon Tandy will pass on to shareholders at the end of January in the form of a 12.5 cents-a-share quarterly dividend. The dividend is the first Tandy has paid since it went public in the 1960's.

A Potent Foe for I.B.M.

But buyer enthusiasm for the 1000 SX is the main cause of Tandy's stock rise, analysts said, noting the importance of computers to the company's earnings. Computer products generated nearly \$1 billion, or approximately one-third of Tandy's total sales of \$3 billion, in its last fiscal year, which ended June 30.

The 1000 SX's fast takeoff, according to industry experts, underscores the advantages in speed and graphics it has over the I.B.M. XT. That edge, they say, could make Tandy difficult to dislodge at the low end of the computer market. I.B.M. is expected to focus its new products at the higher end, on faster machines with larger memories.

Mr. Roach, a drawing Texan with a wry sense of humor, said Tandy hoped to make the low end of the computer market "unattractive for some" — with "some" apparently including I.B.M. Analysts say they think I.B.M., whose profit growth has shrunk, in part because of price-cutting in microcomputers, will not want to pick a fight with Tandy or other makers of I.B.M.-clone machines.

Network of Retail Stores
Moreover, the early success of the 1000 SX demonstrates how effectively Tandy's network of 7,200 Radio Shack retail stores can reach first-time computer buyers. As prices for complete systems — including a printer, software and other common features — continue to decline toward \$2,000, the number of budget-conscious consumers willing to buy a computer at a Radio Shack store has become an increasingly important factor in the market.

Tandy's growing reputation for service, product quality and low prices gives it an edge over makers of other I.B.M.-clone machines priced below \$1,000, said Seymour Merrin, a personal-computer market specialist with the Gartner Group computer consultants in Stamford, Conn. Moreover, its Radio Shack outlets make it the biggest single retailer of computers.

"The Tandy crowd is buying for a lot of the same reasons people buy I.B.M.," he said. "They get service and support from someone they know and trust at a Radio Shack. In many parts of America, Tandy is all they've got."

In addition, there is a growing perception that there is not much difference in hardware in the lower end of the personal computer market, Mr. Glazer said. That should help Tandy, as should the belief of many small and medium-sized businesses that they have a better chance of getting help from Tandy than I.B.M., he said.

Trying to Sell to Business
Tandy, however, has made few inroads among big corporations and partnerships, such as large law firms, accounting firms and investment houses, where personal computers are purchased in batches of 100 or more. To these buyers, the Tandy name still sparks images of cut-rate products of suspect quality.

Business customers generally "are a very image-conscious group" when shopping for personal computers and will not consider Tandy, said Jesse R. Brin, president of Strategic Data Systems Inc., a Dallas concern that selects and sells computer networks to many large businesses.

"Most of us in business would prefer to buy I.B.M. units," said Glen Gatlin, senior vice president at Rauscher Pierce Refsnes, a regional brokerage house in Dallas. "About the only folks who seem to look at Tandy are the ones with engineering backgrounds."

Tandy took several steps last year to try to combat the problem. The company expanded the number of salespeople who are trained to sell computers to businesses to 1,500, from 500, and it plans to expand the staff to 2,000 by June.

It also allocated \$80 million through 1990 for the remodeling of all of its retail stores, although Mr. Roach, Tandy's chairman, rejected a suggestion to change the Radio Shack name. Computers and audio equipment were put on center stage, and the thousands of small electronics parts that had made the stores look like cluttered closets were shoved to the rear and displayed in a more orderly fashion.

In some analysts' eyes, these steps were both necessary and overdue.

Tandy was one of the early entrants in the personal computer business, selling its first model in 1977. In 1979, Tandy held 21 percent of the market, according to Future Computing Inc., a Dallas-based research concern.

But by 1984 its share had fallen substantially because it was slow to adopt the MS-DOS operating system used in I.B.M. machines — the standard for such popular software programs as Lotus 1-2-3. Then, in late 1984, three years after the I.B.M. P.C. was introduced, Tandy brought out its first I.B.M.-compatible machine, the Tandy 1000.

After its profits peaked in 1984 at a record \$282 million, Tandy went into a two-year slump, falling to \$188 million in 1985 and \$198 million for the fiscal year 1986. Like other American computer makers, its profit margins were squeezed by a slowdown in unit sales and competition from low-priced, Asian-made copies of the I.B.M. models.

Now, analysts expect Tandy's profits to approach \$280 million, or about \$3.10 a share, in the current fiscal year, and perhaps \$360 million, or about \$4 a share, in the fiscal year 1988. The projections are, in effect, assumptions that Tandy will increase its share of personal-computer sales. An estimated \$22.5 billion was spent on personal computers in the United States last year, a 24 percent gain from 1985, according to Future Computing.

"Tandy will more and more become a factor to be reckoned with," Mr. Merrin said. "As well as they are doing, I think there are opportunities for massive improvements over the next year."

Control of Manufacturing

Tandy's biggest advantage over both the foreign clone-makers and the American leaders is its degree of control over not only its retailing network, but most of its manufacturing chain as well.

For instance, it fabricates its own printed circuit boards and hard-plastic casings in Texas. It also makes power supplies, copper wiring and other elements common to all microcomputers, although some parts are purchased from Asian suppliers who have been unable to keep up with the unexpected demand for the components.

Since all of its Radio Shack stores are directly owned or franchised, Tandy also has none of the middle-man costs of such competitors as I.B.M., Apple and Compaq. Its vast distribution network is also the envy of other I.B.M.-clone producers.

"If Tandy continues to deliver good products, they will be as difficult to dislodge in their market niche as

A Work Force Of Immigrants

Special to The New York Times

FORT WORTH, Jan. 6 — From the looks of the mostly female workers assembling and testing Tandy's new 1000 SX personal computer along a pair of 400-foot production lines, this plant could be situated in Malaysia or the Philippines, rather than five miles north of Tandy's headquarters here.

Kenji Nishikawa, a 43-year-old electrical engineer from Tokyo who has been involved in design and production in Tandy's computer unit since its inception, is the manager who oversees the plant. Its workers come from 20 countries, and many are recent immigrants to Fort Worth from Laos, Vietnam and Cambodia. Because many are still learning English, the training manual relies on photographs rather than written instructions.

Mr. Nishikawa said employees worked seven-day weeks shortly after production began in late September. Then a parts shortage forced him to cut back to five-day weeks in December. Suppliers currently are shipping parts for computers originally scheduled for April assembly, he said.

The company gives no current daily production figures, but based on outputs posted one recent afternoon on a video monitor, it probably is close to 1,200 units. That roughly conforms with the six-week wait that Radio Shack salespeople are quoting to customers.

I.B.M. is in major companies," said Peter J. Suris, senior vice president of the Buckingham Research Group, a New York institutional brokerage firm.